APPRAISAL OF REAL PROPERTY

GSA Office
Office Property
4211 Cedar Springs Drive
Dallas, Dallas County, Texas 75219

PREPARED FOR:
Mr. Bryan P. Healey, CPA
Chief Financial Officer
Kent International Holdings, Inc.
100 Main Street
Colleyville, Texas 76034

EFFECTIVE DATE OF THE APPRAISAL:
March 2, 2011

REPORT FORMAT:
Summary

INTEGRA REALTY RESOURCES - DFW, LLP
File Number: 112-2011-0074



INTEGRA Realty Resources
DALLAS/FORT WORTH

March 3, 2011

Mr. Bryan P. Healey, CPA
Chief Financial Officer
Kent International Holdings, Inc.
100 Main Street
Colleyville, Texas 76034

SUBJECT: Fair Value FAS 157 Compliant Appraisal
GSA Office
4211 Cedar Springs Drive
Dallas, Dallas County, Texas 75219
Integra DFW, LLP File No. 112-2011-0074

Dear Mr. Healey:

Integra Realty Resources – DFW, LLP is pleased to submit the accompanying appraisal of the referenced property. The purpose of the appraisal is to develop an opinion of the Fair Value, compliant with FAS 157. We have estimated the fair value of the fee simple interest, as of March 2, 2011. The client for the assignment is Kent International Holdings, Inc., and the intended use is for asset valuation purposes.

The appraisal is intended to conform with the Uniform Standards of Professional Appraisal Practice (USPAP), the Code of Professional Ethics and Standards of Professional Appraisal Practice of the Appraisal Institute, and the appraisal guidelines of Kent International Holdings, Inc.. The appraisal is also prepared in accordance with the appraisal regulations issued in connection with the Financial Institutions Reform, Recovery and Enforcement Act (FIRREA).

To report the assignment results, we use the self-contained report option of Standards Rule 2-2 of USPAP. Accordingly, this report contains all information significant to the solution of the appraisal problem.

The subject is an existing single-tenant, Class B office property containing 39,329 square feet of rentable area. The improvements were constructed in 1985, and are 100% leased to GSA of the effective appraisal date. The site area is 0.84 acres, or 36,589 square feet.

Based on the valuation analysis in the accompanying report, and subject to the definitions, assumptions, and limiting conditions expressed in the report, our opinion of value is as follows:

VALUE CONCLUSIONS			
Appraisal Premise	Interest Appraised	Date of Value	Value Conclusion
Fair Value As Is	Fee Simple	March 2, 2011	$4,600,000

EXTRAORDINARY ASSUMPTIONS & HYPOTHETICAL CONDITIONS

The value conclusions are subject to the following extraordinary assumptions and hypothetical conditions that may affect the assignment results.

1. An on-site inspection was conducted with limited access to some areas of the building. This analysis assumes the inspected portions of the building are representative of the non-inpsected areas.

If you have any questions or comments, please contact the undersigned. Thank you for the opportunity to be of service.

Respectfully submitted,

INTEGRA REALTY RESOURCES - DFW, LLP

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SUMMARY OF SALIENT FACTS AND CONCLUSIONS

Property Name	GSA Office
Address	4211 Cedar Springs Drive Dallas, Texas 75219
Property Type	Office - Office
Owner of Record	4211 Cedar Springs Partners
Tax ID	001616000901A0000
Land Area	0.84 acres; 36,589 SF
Gross Building Area	39,329 SF
Rentable Area	39,329 SF
Percent Leased	100%
Year Built	1985
Zoning Designation	Planned Development, Office Overlay
Highest and Best Use	
As if Vacant	Office use
As Improved	Continued office use
Exposure Time; Marketing Period	12 months; 12 months
Date of the Report	March 3, 2011

VALUE CONCLUSIONS

Appraisal Premise	Interest Appraised	Date of Value	Value Conclusion
Fair Value As Is	Fee Simple	March 2, 2011	$4,600,000

EXTRAORDINARY ASSUMPTIONS & HYPOTHETICAL CONDITIONS

The value conclusions are subject to the following extraordinary assumptions and hypothetical conditions that may affect the assignment results.

1. An on-site inspection was conducted with limited access to some areas of the building. This analysis assumes the inspected portions of the building are representative of the non-inpsected areas.

PART TWO		
Number of Tenants	1	
Average Contract Rent/SF	$18.98	
Average Market Rent/SF	$18.50	
Major Tenant and Expiration	United States, General Services Administration	01/17/23
Major Tenant SF and Contract Rent	39,329	$18.98
Sales Comparison Approach		
Number of Sales	4	
Range of Sale Dates	Jan-09 to Dec-10	
Range of Unit Prices	$152.34 to $262.77	
Indicated Value	$4,600,000	($116.96/SF)
Income Capitalization Approach		
Potential Gross Income at Stabilization	$637,365	($16.21/SF)
Stabilized % Vacancy & Collection Loss	–	
Effective Gross Income	$637,365	($16.21/SF)
Operating Expenses	$302,164	($7.68/SF)
Operating Expense Ratio	47.4%	
Net Operating Income at Stabilization	$335,200	($8.52/SF)
Capitalization Rate Applied and Value	8.00%	$4,800,000
Discount Rate Applied and Value	8.25%	$4,600,000
Indicated Value	$4,600,000	($116.96/SF)
Market Value Conclusion	$4,600,000	($116.96/SF)

GENERAL INFORMATION

IDENTIFICATION OF SUBJECT

The subject is an existing single-tenant, Class B office property containing 39,329 square feet of rentable area. The improvements were constructed in 1985, and are 100% leased to GSA of the effective appraisal date. The site area is 0.84 acres, or 36,589 square feet. A legal description of the property is in the Addenda.

PROPERTY IDENTIFICATION	
Property Name	GSA Office
Address	4211 Cedar Springs Drive
	Dallas, Texas 75219
Tax ID	001616000901A0000
Legal Description	Lot 1A, Block 9/1616, Headwaters Addition

CURRENT OWNERSHIP AND SALES HISTORY

The owner of record is 4211 Cedar Springs Partners. This party acquired the property from Qualified Investment Corp. on March 2, 2004 for an undisclosed price. The subject is currently under contract to Kent International Holdings, Inc. for $4,325,000 or $109.97/SF. This contract price appears to be near current market levels. To the best of our knowledge, no other sale or transfer of ownership has occurred within the past three years.

TYPE OF VALUE, PROPERTY RIGHTS AND EFFECTIVE DATE

The purpose of the appraisal is to develop an opinion of the Fair Value, compliant with FAS 157. We estimate the fair value of the fee simple interest, as of March 2, 2011. The date of the report is March 3, 2011.

DEFINITION OF FAIR VALUE

Exit Market (as defined in SFAS 157)

The exit market is the requesting entity's principal market (transacting greatest volume with highest level of activity) or, in its absences, the most advantageous market that maximizes the value of the asset in its "highest and best use" from the perspective of that market participant.

Fair Value Measurement (as defined in SFAS 157)

An exit price to sell the asset in a hypothetical orderly transaction with a hypothetical market participant in the entity's referenced exit market. It is neither a forced transaction, a distressed sale, nor a time distressed sale. This is not equivalent to an orderly liquidation value.

RECONCILIATION AND CONCLUSION OF VALUE

Reconciliation involves the weighting of alternative value indications, based on the judged reliability and applicability of each approach to value, to arrive at a final value conclusion. Reconciliation is required because different value indications result from the use of multiple approaches and within the application of a single approach. The values indicated by our analyses are as follows:

SUMMARY OF VALUE INDICATIONS

	Fair Value As Is
Cost Approach	Not Used
Sales Comparison Approach	$4,600,000
Income Capitalization Approach	$4,600,000
Reconciled	$4,600,000

SALES COMPARISON APPROACH

The sales comparison approach is most reliable in an active market when an adequate quantity and quality of comparable sales data are available. In addition, it is typically the most relevant method for owner-user properties, because it directly considers the prices of alternative properties with similar utility for which potential buyers would be competing. The analysis and adjustment of the sales provides a reasonably narrow range of value indications. Nonetheless, it does not directly account for the income characteristics of the subject. Therefore, this approach is given secondary weight.

INCOME CAPITALIZATION APPROACH

The income capitalization approach is usually given greatest weight when evaluating investment properties. The value indication from the income capitalization approach is supported by market data regarding income, expenses and required rates of return. An investor is the most likely purchaser of the appraised property, and a typical investor would place greatest reliance on the income capitalization approach. For these reasons, the income capitalization approach is given greatest weight in the conclusion of value.

FINAL VALUE ESTIMATE

Based on the preceding valuation analysis, and subject to the definitions, assumptions, and limiting conditions expressed in the report, our opinion of value is as follows:

VALUE CONCLUSIONS

Appraisal Premise	Interest Appraised	Date of Value	Value Conclusion
Fair Value As Is	Fee Simple	March 2, 2011	$4,600,000

EXTRAORDINARY ASSUMPTIONS & HYPOTHETICAL CONDITIONS

The value conclusions are subject to the following extraordinary assumptions and hypothetical conditions that may affect the assignment results.

1. An on-site inspection was conducted with limited access to some areas of the building. This analysis assumes the inspected portions of the building are representative of the non-inpsected areas.

EXPOSURE AND MARKETING TIMES

Exposure time is the length of time the subject property would have been exposed for sale in the market had it sold on the effective valuation date at the concluded market value. Exposure time is always presumed to precede the effective date of the appraisal. *Marketing time* is an estimate of the amount of time it might take to sell a property at the estimated market value immediately following the effective date of value.

Based on our review of recent sales transactions for similar properties and our analysis of supply and demand in the local office market, presented earlier in this report, it is our opinion that the probable exposure time for the property is 12 months.

We foresee no significant changes in market conditions in the near term; therefore, it is our opinion that a reasonable marketing period is likely to be the same as the exposure time. Accordingly, we estimate the subject's marketing period at 12 months.

Our estimate is supported by the following national investor survey data.

OFFICE AVERAGE MARKETING TIME (MONTHS)

	PwC 4Q-2010 National CBD Office	PwC 4Q-2010 National Suburban Office
Range	3.0 - 12.0	2.0 - 24.0
Average	7.85	8.96

Source: PwC Real Estate Investor Survey